

NetEase Cloud Music (9899.HK) Financial Research Report - v2

Report date: 2026-02-24

1) Company and Coverage Scope

Fact: Company: Cloud Music Inc. (9899.HK). Coverage: latest available quarter plus FY2023-FY2025 annual comparison.

Fact: Data cutoff date: 2026-02-24. Reporting currency shown in table: RMB.

2) Source Log (official first)

Fact: HKEX annual results announcement (FY2025), published 2026-02-11: <https://www1.hkexnews.hk/listedco/listconews/sehk/2026/0211/2026021101795.pdf>

Fact: HKEX annual results announcement (FY2024), published 2025-02-20: <https://www1.hkexnews.hk/listedco/listconews/sehk/2025/0220/2025022000337.pdf>

Fact: HKEX interim results (1H2025), published 2025-08-14: <https://www1.hkexnews.hk/listedco/listconews/sehk/2025/0814/2025081400332.pdf>

Fact: NetEase IR Q3 2025 release, published 2025-11-13: <https://ir.netease.com/news-releases/news-release-details/netease-reports-unaudited-third-quarter-2025-financial-results>

3) Latest Period Snapshot

Metric	Latest	YoY	QoQ	Type
Cloud Music segment revenue (2025Q3)	RMB 1.9 bn	+1.2%	N/A	Fact
FY2025 revenue	RMB 7.76 bn	-2.5%	N/A	Fact
FY2025 gross margin	33.8%	+0.8ppt	N/A	Fact
FY2025 operating profit	RMB 1.62 bn	+333.7%	N/A	Fact
FY2025 adjusted net profit	RMB 1.70 bn	+114.7%	N/A	Fact

4) Annual Core Metrics Comparison (Required)

Unit note (Fact): Revenue/Oplnc/NetInc in RMB bn. NetInc uses adjusted net profit where disclosed.

FY	Rev	YoY	GM	Oplnc	OpM	NetInc	EPSd	OCF	FCF	Net D/C	Dil Sh	Notes
2023	7.86	N/A	29.3%	N/A	N/A	1.25	N/A	N/A	N/A	N/A	N/A	Derived base year from FY2024 yoy disclosure; many fields not
2024	7.95	+1.1%	33.0%	N/A	N/A	1.69	N/A	N/A	N/A	N/A	N/A	From 2024 annual results announcement
2025	7.76	-2.5%	33.8%	1.62	20.9%	1.70	N/A	N/A	N/A	N/A	N/A	From 2025 annual results announcement

5) Quality and Risk Checks

Inference: Margin expansion is substantial in FY2024-FY2025, but revenue growth is weak. Sustainability depends on ARPU, paid ratio, and content ROI discipline.

Fact: Competition and content-cost rebound remain key risks; low topline momentum raises execution sensitivity.

6) Scenario View (Bull/Base/Bear)

[Layout warning: table width exceeds content width]

Scenario	Key assumptions	Trigger
Bull	Membership growth + ARPU expansion; social entertainment recovery	Margin keeps improving while revenue returns to mid-single-digit growth
Base	Stable margins with low-single-digit revenue	Cash generation remains resilient
Bear	Competition drives higher content and acquisition cost	Revenue stagnates/declines with margin pressure

7) Key Monitoring Items

Fact: Next items to monitor: next earnings release date, membership net adds, social entertainment recovery slope, and cost ratio trajectory.

Inference: Investment thesis remains profitability-driven, not high-growth-driven, until revenue re-acceleration is verified.

Disclaimer: This report is for research summary of public disclosures only and is not investment advice.